IDBI Bank Limited

October 22, 2026

CARE Ratings Limited (CareEdge Ratings) notes that, on October 14, 2026, the Cabinet Committee on Economic Affairs (CCEA), Ministry of Finance (MOF) approved M/s 10955230 Canada Inc., whose parent entity is M/s Fairfax Financial Holdings Limited (Fairax), as the successful bidder to acquire 60.72% stake in IDBI Bank, subject to fulfilment of regulatory conditions. As part of the transaction, the Government of India (GoI) which holds 45.48% stake and Life Insurance Corporation of India (LIC), which holds 49.24% stake in IDBI Bank, will divest stakes of 30.48% and 30.24%, respectively, resulting in residual shareholdings of 15% and 19%. The CCEA has also authorised the Alternative Mechanism to divest the GoI's remaining 15% stake in IDBI Bank through the open market in accordance with the prescribed process. LIC will independently determine and manage the sale of its residual shareholding, subject to its internal policies and applicable regulatory requirements.

CareEdge Ratings notes that the acquisition proposal is subject to regulatory approvals, including the Fit and Proper assessment of the incoming promoter by the Reserve Bank of India (RBI). This may require further approvals from other regulators given IDBI Bank's subsidiary's presence in capital market business and Fairfax's India presence in the insurance and capital market businesses. Another key regulatory condition is that Fairfax, which already controls CSB Bank with ~40% shareholding, must merge CSB Bank with IDBI Bank or divest one of the banking entities within two years of completing the IDBI Bank acquisition. CareEdge will continue to monitor developments in this regard.

The rating continues to factor in IDBI Bank's improved asset quality and profitability supported by reduction in credit costs. The rating further factors in the bank's comfortable capitalisation levels, its increasing focus on retail lending in the last few years and healthy-yet-declining current account savings account (CASA) deposit proportion. IDBI Bank is expected to sustain growth in business while maintaining adequate capitalisation. However, sustenance of improvement in financial metrics and ability to contain slippages of recently originated advances remain key monitorable.

For the detailed press release of IDBI bank, please visit link

Disclosure on facilities/instruments and name of regulators:
A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

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